FIDUCIARY DOCUMENTATION · CHECKLIST

Your Fiduciary File.

Five categories of pharmacy-benefit documentation courts evaluate when assessing prudent process. Required records, what "good" looks like, and the one-page test that reveals your gaps. Litigation does not wait for next quarter.

01 The Five Documentation Categories

Each panel names a category courts evaluate, the records that should live in your fiduciary file, and what "good" looks like for each. Check off each item that is currently in your file. Anything unchecked is a gap worth closing this quarter.

PBM Selection and Procurement

Decision trail · pre-signing

What good looks like: a memo dated before contract signing that explains the decision, references the criteria, and documents which alternatives were considered and why they were passed over.

- [ ] RFP document with evaluation criteria defined before proposals
- [ ] Evaluation matrix scoring each proposal against criteria
- [ ] Conflict of interest disclosures from committee members
- [ ] Proposals from at least three PBM candidates
- [ ] Selection committee meeting minutes and rationale memo
- [ ] Evidence of clinical / financial / legal expertise on the committee

Contract Negotiation

Redline trail · not a clean signature

What good looks like: evidence you did not sign the PBM's standard contract unchanged. A clean signature page with no redlines is the gap worth closing.

- [ ] Redlined contracts showing changes from PBM's initial terms
- [ ] Benchmark analysis comparing your terms to market
- [ ] Documentation of negotiated audit rights and termination provisions
- [ ] Legal review from benefits counsel (not just general counsel)
- [ ] Documentation of negotiated pricing guarantees and rebate pass-through
- [ ] Side letters and amendments with execution dates

Ongoing Performance Monitoring

Quarterly cadence · most common gap

What good looks like: quarterly records showing someone reviewed the numbers, compared them to guarantees, and acted on shortfalls. This is where the most fiduciary gaps live.

- [ ] Quarterly PBM performance reports against contract guarantees
- [ ] Documentation of guarantee shortfalls and how they were resolved
- [ ] Clinical program outcomes data and review
- [ ] Independent analysis verifying PBM-reported performance
- [ ] Annual benchmarking against market comparators
- [ ] Committee meeting minutes reviewing the quarterly data

Renewal and Amendment

Market check · not auto-renewal

What good looks like: evidence you treated renewal as a decision, not an automatic continuation. Auto-renewals are the easiest gap for a plaintiff to find.

- [ ] Market check or RFP at renewal (even if you stay with the current PBM)
- [ ] Documentation of what you negotiated at renewal
- [ ] Amendment tracking log with execution dates
- [ ] Analysis comparing renewal terms to what else is available
- [ ] Rationale memo for the renewal decision

Committee Governance

Cadence + minutes · documented decisions

What good looks like: a regular cadence of documented meetings where pharmacy decisions are discussed, data is reviewed, and actions are recorded. Ad hoc, undocumented decision-making creates the most exposure in litigation.

- Named fiduciary or committee charter for pharmacy benefit oversight
- Meeting agendas with pharmacy items called out
- Attendee lists showing consistent participation
- Regular meeting schedule, quarterly at minimum
- Meeting minutes with decisions and rationale recorded
- Action items with completion tracking across meetings

Illustrative documentation framework for educational purposes. No checklist substitutes for qualified ERISA counsel. Use this to identify gaps; engage benefits counsel to remediate them.

03 The One-Page Test

If a plaintiff's attorney asked you to demonstrate prudent pharmacy-benefit process today, could you produce these five documents within 24 hours? If any of the five is missing, that gap is your exposure. Start building it now. Not next quarter. Now.

DOCUMENT 1 · SELECTION

A selection rationale memo dated before contract signing.

References the evaluation criteria, names the alternatives considered, and explains why this PBM was chosen over the others. The date matters: a memo written after the fact does not demonstrate prudent process.

DOCUMENT 2 · NEGOTIATION

Evidence of contract negotiation, not just acceptance.

Redlines, side letters, market benchmark analysis, or counsel memos showing terms were tested before being signed. A clean signature page with no negotiation trail is the documentation gap plaintiffs look for first.

DOCUMENT 3 · MONITORING

Quarterly performance monitoring documentation.

Performance reports against contract guarantees with evidence someone reviewed them and acted on shortfalls. Annual reports without quarterly review are insufficient; the standard is ongoing prudent oversight.

DOCUMENT 4 · RENEWAL

A renewal evaluation showing alternatives were considered.

Market check, renewal benchmarking analysis, or rationale memo demonstrating renewal was a decision, not an automatic continuation. Apply this even if you stay with the incumbent PBM.

DOCUMENT 5 · GOVERNANCE

Committee meeting minutes with pharmacy-specific decisions recorded.

A consistent quarterly cadence of documented committee meetings where pharmacy data is reviewed, decisions are made, and actions are tracked to completion. Ad hoc and undocumented decision-making is the highest-risk pattern.

04 Closing Documentation Gaps This Quarter

If the One-Page Test surfaces missing documents, the fix is to start building forward, not to manufacture backdated records. Three steps to take this quarter, in this order:

§ **Audit your existing documentation trail**
Pull the file. Map what exists against the five categories above. Catalog the gaps in writing. The audit itself is the first piece of documentation; date it, save it, and reference it in committee minutes.

§ **Establish a documentation protocol going forward**
Define what gets created at each touch point with the PBM: every renewal, every amendment, every quarterly review. Assign an owner. Decide where files live. The protocol exists once; the files compound from there.

§ **Engage benefits counsel for a fiduciary file review**
Once the audit is complete, share it with qualified ERISA counsel. They will identify priority remediation items based on current case law. The cost of this review is materially less than the cost of being unprepared in litigation.

§ **Document the new cadence in committee charter**

Update the committee charter to reflect the documentation protocol and quarterly review cadence. Distribute, get sign-off, and reference the updated charter in the next meeting minutes. The charter is itself fiduciary evidence.